VectraAuto Business Proposal

VectraAuto

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0. Title Page

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1. Executive Summary

VectraAuto is a digital-first e-commerce platform for automobile parts in Sri Lanka. The business replaces the phone calls, physical store visits, and trial-and-error ordering that still define the local aftermarket with a single online marketplace that matches the correct part to the customer's vehicle and delivers it quickly. The opportunity is created by a large, fragmented market, an ageing vehicle fleet, and a customer base that increasingly searches and buys online.

The primary target market is DIY car owners, with independent repair garages as a secondary B2B channel. Competition comes from local brick-and-mortar parts dealers, dealerships, general marketplaces, and a small number of specialist online sellers. VectraAuto competes through accurate make-model-year fitment, transparent LKR pricing, reliable delivery, and search-led marketing that targets specific part numbers and repair queries rather than broad automotive advertising.

Operationally, VectraAuto will operate as a Limited Liability Company (LLC) in Sri Lanka. Sales are processed through the VectraAuto web application, with a central warehouse holding high-turnover parts and drop-shipping partnerships covering rare components. The hybrid inventory model keeps working capital under control while protecting the fast delivery promise that distinguishes the brand.

The illustrative two-year forecast projects revenue of LKR 45,000,000 in Year 1 and LKR 109,200,000 in Year 2. Year 1 is an investment year with a planned net loss of LKR 3,750,000 as the platform, supplier network, and customer base are built. Year 2 projects a net profit of LKR 5,185,600 as order volume, average order value, and gross margin improve.

VectraAuto requires an initial equity investment of LKR 15,000,000, supplemented by LKR 4,000,000 in debt facilities. The funds are allocated to platform development, warehouse setup and equipment, initial inventory, launch marketing, working capital, and legal and contingency reserves. The full financial plan, assumptions, and balance-sheet checks are set out in Section 10.

2. Vision and Mission

Mission Statement: To give mechanics and car enthusiasts in Sri Lanka an intuitive, reliable, and fast digital platform for sourcing high-quality automobile parts, so that repairs are completed correctly the first time and vehicles stay on the road without avoidable delays.

Vision Statement: To become the leading digital-first automobile parts provider in Sri Lanka, setting the standard for fitment accuracy, e-commerce efficiency, and customer experience in the automotive aftermarket.

VectraAuto exists to remove friction from a transaction that is still largely offline. The mission defines who the business serves and how it competes; the vision defines the future state the team is building toward. Both statements guide product decisions, supplier relationships, and the service standards used to measure every order.

3. Description of the Business

VectraAuto is a startup automobile parts e-commerce business. It sells replacement and maintenance parts to DIY car owners and independent repair garages through a web application that combines an accurate parts catalogue, a make-model-year fitment finder, transparent pricing in Sri Lankan rupees, and door-to-door delivery. The business is registered as a Limited Liability Company (LLC) and is currently pre-revenue, with its initial capital allocated to platform development, supplier onboarding, and inventory.

The problem VectraAuto solves is straightforward: finding the right part is slow, uncertain, and expensive. A customer must identify the vehicle, describe the part, call several shops, visit them, compare prices, and often discover that the part is unavailable or does not fit. Independent garages face the same friction at higher volume, and every wrong part creates a return, a delay, and a lost customer. The current supply chain is fragmented across importers, wholesalers, retailers, and workshops, with limited real-time visibility of stock and fitment.

VectraAuto's solution is a market-facing digital platform rather than an internal efficiency tool. The platform will hold structured fitment data, supplier and warehouse stock, order history, and demand signals. Customers search by vehicle and part category, see only parts that fit, pay online, and receive delivery updates. The same catalogue supports a future B2B portal for garages that need repeat ordering, credit terms, and bulk pricing.

The primary customers are DIY car owners who maintain their own vehicles and value convenience, price transparency, and correct fitment. The secondary customers are independent repair garages that buy parts regularly and need reliable availability and fast replenishment. VectraAuto prioritises the B2C experience first because it builds brand trust and generates the search and demand data that later strengthens the B2B offer.

The organizational structure begins lean. The founder leads strategy, supplier relationships, and finance. Early hires cover platform operations, catalogue and fitment data, marketing, customer service, and warehouse fulfilment. Specialist development work is contracted during the build phase and brought in-house only when volume justifies it. The business is intentionally digital-first: there is no customer-facing retail storefront, and the warehouse is a fulfilment and quality-control facility rather than a traditional shop.

The current financial status is pre-revenue and investment-dependent. Start-up costs are funded through founder equity, an investor round, and debt facilities. The business will reach operating break-even as order volume grows through Year 1 and is projected to be profitable in Year 2. Detailed projections, assumptions, and the funding allocation appear in Section 10.

4. Environmental Analysis

The PEST framework is used to assess external factors outside VectraAuto's control that may affect sales, costs, and operations in Sri Lanka.

Political Factors

Automobile parts are highly import-dependent, so tariffs, import licensing, and changes in trade policy directly affect landed cost and availability. Customs valuation rules and vehicle import

restrictions influence the composition and age of the national fleet, which in turn changes demand for replacement parts. The business must maintain supplier diversification and keep a compliance register for import documentation, product standards, and consumer-protection obligations. Political stability and the consistency of tax policy also affect investor confidence and the cost of capital.

Economic Factors

Inflation, currency movement, and interest rates shape both demand and margin. When the rupee depreciates, imported parts become more expensive, and VectraAuto must adjust prices while protecting its value proposition. When household budgets tighten, consumers tend to repair existing vehicles rather than replace them, which supports aftermarket demand. The business is exposed to fuel and logistics costs, and to the purchasing power of its B2C segment. A disciplined pricing model, local supplier alternatives, and a working-capital buffer are the main mitigations.

Social Factors

Sri Lanka has a strong DIY and informal repair culture, supported by online communities, video tutorials, and social commerce. Consumers increasingly expect search, comparison, and delivery online, including cash-on-delivery and digital payment options. Trust remains a barrier: buyers worry about counterfeit parts, unclear warranties, and poor fitment. VectraAuto addresses this through verified suppliers, fitment guarantees, transparent returns, and visible customer reviews. Urbanisation and traffic congestion also make home delivery more attractive than visiting multiple shops.

Technological Factors

Cloud infrastructure, payment gateways, logistics APIs, and structured fitment data make it feasible to build a specialised marketplace at a fraction of the cost of a physical chain. Mobile penetration and social media usage support low-cost customer acquisition. The main technological risks are data quality, platform reliability, and cybersecurity. VectraAuto will use a cloud-hosted catalogue, encrypted payments, role-based access, backups, and a documented incident-response process. Technology is an enabler, but the durable advantage comes from the fitment data and supplier network built on top of it.

5. Industry Analysis

The Sri Lankan automobile aftermarket is a large, fragmented industry that sits between vehicle importers, parts importers, distributors, wholesalers, retailers, and repair workshops. Original equipment manufacturer (OEM) parts flow through authorised dealership channels at premium prices. Aftermarket and replacement parts flow through independent importers and wholesalers, then into local shops and garages. A long tail of small retailers serves walk-in customers, often without real-time stock visibility or structured fitment data.

The industry is import-dependent. Common replacement categories such as filters, brake components, suspension parts, belts, batteries, and electrical items are sourced from multiple coun-

tries. Lead times are affected by shipping schedules, customs clearance, and foreign-exchange availability. Counterfeit and low-quality parts are a persistent concern, and trust is built through supplier reputation, warranties, and visible quality control. Margins vary widely by category, with commodity parts under price pressure and rare or specialist parts carrying higher mark-ups.

Demand is driven by the size and age of the vehicle fleet, distance travelled, road conditions, and the repair-versus-replace decision. An ageing fleet and a preference for extending vehicle life support steady aftermarket demand. The channel is shifting online, but most transactions remain offline and relationship-driven. The gap is not demand; it is a trusted digital interface that combines catalogue accuracy, availability, and delivery.

VectraAuto's position in the value chain is as a digital retailer and fulfilment orchestrator. It does not need to own every part or every supplier. It needs to own the customer relationship, the fitment data, and the service promise. That position allows the business to scale without the overhead of a national store network and to use demand data to improve stocking decisions over time.

6. Competitor Analysis

Every business has competition. VectraAuto assesses current and potential competitors on inventory depth, fitment accuracy, price, convenience, and trust.

Competitor category	Type	Strengths	Weaknesses	VectraAuto response
Local brick-and-mortar parts dealers	Current	Immediate availability, established community trust, personal relationships	Limited inventory, high operating overhead, phone-and-visit ordering, inconsistent fitment advice	Offer a wider catalogue, verified fitment, transparent LKR pricing, and delivery; partner with local dealers for overflow stock
Authorised dealerships	Current	OEM quality, warranty, brand trust	Premium prices, limited aftermarket range, slower and less convenient for older vehicles	Target value-seeking owners of older vehicles with quality aftermarket parts and clear warranty terms

Competitor category	Type	Strengths	Weaknesses	VectraAuto response
General e-commerce marketplaces	Potential	Strong logistics, broad traffic, payment trust	Weak automotive fitment data, high return rates, limited specialist support	Win on fitment accuracy, category expertise, and a purpose-built vehicle-part search experience
Specialist online parts sellers	Potential	Focused catalogue and automotive knowledge	Small supplier base, limited brand awareness, inconsistent delivery	Combine specialist depth with reliable fulfilment, reviews, and a B2C-first experience
Independent garages with their own suppliers	Potential	Existing relationships, technical knowledge, credit terms	Fragmented buying, no digital catalogue, limited stock visibility	Offer a B2B portal, repeat-order convenience, and consolidated invoicing as the secondary channel grows

VectraAuto's competitive advantage is not a single feature. It is the combination of structured fitment data, a curated supplier network, a fast delivery promise, and a digital experience designed specifically for automobile parts. The business will review competitor pricing and assortment monthly, track return reasons, and use search data to identify gaps that competitors are not serving.

7. Market Analysis

Market Size

The Sri Lankan automobile aftermarket is estimated at approximately LKR 180 billion per year. This is an illustrative planning estimate built from registered vehicle volume, average annual parts and repair spending, and the share of spending that flows through independent channels. The online-addressable portion is estimated at LKR 3.6 billion, reflecting the share of buyers who already search, compare, and pay online. The figures are planning estimates, not audited market statistics, and will be refined as better data becomes available.

Market volume is estimated at 8.2 million registered vehicles, approximately 6,500 independent repair garages, and about 1.9 million households that actively maintain at least one vehicle. These volume figures are also illustrative estimates based on public registration statistics and industry observation. They are used to size the opportunity and to prioritise categories, not to claim precision.

Market Segmentation

Segment	Basis	Characteristics	Priority
DIY car owners	Demographic and behavioural	Vehicle owners aged 18–55, urban and semi-urban, search online for repairs, value price and correct fitment	Primary
Independent repair garages	Behavioural and geographic	Small workshops, repeat purchases, need availability and credit terms, concentrated near transport corridors	Secondary
Fleet operators	Behavioural	Small fleets, scheduled maintenance, price sensitivity, bulk ordering	Secondary, later phase
Value-seeking dealership customers	Psychographic	Owners of older vehicles who want quality alternatives to OEM prices	Secondary, later phase

Geographic segmentation concentrates the launch in the Western Province, where vehicle density, internet penetration, and logistics coverage are highest, before expanding to other provinces. Behavioural segmentation focuses on customers who search for a specific part or repair problem rather than browsing generically. Psychographic segmentation focuses on value-seekers who want quality parts at lower prices than dealerships but are unwilling to gamble on unknown sellers.

Target Market

VectraAuto's target market is DIY car owners who maintain their own vehicles and buy parts online, with independent repair garages as the secondary channel. The target customer is aged 18–55, lives in or near an urban area, owns a vehicle that is out of warranty or approaching it, and is comfortable paying online or on delivery. The customer values a correct fit, a fair price, and a reliable delivery window more than a physical showroom.

The B2B target is the independent garage that buys frequently but lacks a reliable digital catalogue. This customer values availability, repeat ordering, consolidated invoicing, and technical support. VectraAuto will serve this segment through the same catalogue and warehouse, adding B2B features only after the B2C experience is stable.

Market Need

Customers buy from VectraAuto because the current process wastes time and creates uncertainty. The key drivers of demand are fitment accuracy, availability, delivery speed, price transparency, and trust in part quality. A customer who has ordered the wrong part once will pay a small premium for a platform that prevents the mistake. A garage that has lost a day waiting for a part will pay for reliable replenishment.

VectraAuto differs from general marketplaces by owning the fitment layer and the automotive

customer experience. It differs from local shops by offering a wider catalogue, search, delivery, and structured data. The reason to buy specifically from VectraAuto is the combination of the right part, a clear price, and a delivery promise backed by a return policy.

Barriers to Entry

Technology is a barrier because fitment data, catalogue quality, and platform reliability require continuous investment. The technology itself is replicable, but the curated data and supplier integrations are not built overnight.

Branding is a barrier because trust in a saturated aftermarket takes time. VectraAuto must earn credibility through verified suppliers, warranties, reviews, and consistent service.

Cost of entry is a barrier because platform development, initial inventory, warehouse setup, and launch marketing require capital before revenue scales.

Location and logistics are barriers because a warehouse must sit near major transport corridors to keep delivery fast and overhead low. The launch plan concentrates on the Western Province for this reason.

Regulatory and import barriers also matter. Compliance with customs, consumer protection, and product standards adds cost and complexity, and import policy changes can disrupt supply.

8. Marketing Plan

Products, Services, and Unique Selling Proposition

VectraAuto sells replacement and maintenance parts across filters, brakes, suspension, belts, batteries, electrical components, and selected accessories. The service wraps the product: fitment checking, delivery, returns, and customer support. The unique selling proposition is: **"The Right Part, First Time, Delivered Fast."** Every marketing message reinforces fitment accuracy and delivery reliability rather than generic discounts.

Pricing Strategy

VectraAuto uses transparent LKR pricing with a value position slightly below dealership prices for comparable quality. Commodity parts are priced competitively to drive traffic and repeat purchase. Rare and specialist parts carry a premium that reflects sourcing difficulty, lead time, and technical support. Delivery is free above a minimum order value, with a transparent fee below it. Discounting is used selectively for bundle purchases, repeat B2B orders, and cleared seasonal stock rather than as a permanent strategy.

Sales and Distribution

All sales are processed through the VectraAuto web application. Customers search by vehicle and part, confirm fitment, pay online or on delivery, and receive delivery updates. The warehouse fulfils high-turnover stock, while drop-shipping partners fulfil rare parts directly to the customer. Third-party logistics providers handle last-mile delivery, with service-level targets for

dispatch and delivery. Returns are handled through a documented process with inspection and replacement or refund.

Advertising and Promotions

The acquisition strategy is search-led. VectraAuto will build search engine optimisation around part numbers, vehicle models, and repair queries, and will run paid search campaigns on high-intent terms. Content marketing will publish fitment guides, maintenance checklists, and repair explainers. Partnerships with automotive YouTube creators and local car communities will build trust. Garage referral programmes and a first-order incentive will support the secondary B2B channel. Retention is supported by order reminders, service reminders, reviews, and a loyalty offer for repeat customers.

Marketing spend is budgeted at 10% of revenue in Year 1 and 9% in Year 2. Performance is measured by cost per acquisition, search-to-order conversion, repeat-purchase rate, and return rate.

9. Operational Plan

The operational plan sets out the key activities and measurable targets for the first year.

Quarter	Key activities	Measurable target
Q1	Finalise platform build, complete fitment data for launch categories, secure warehouse, register the LLC, sign initial suppliers	Target: platform ready for internal testing; 3 launch categories populated; warehouse secured
Q2	Onboard suppliers, integrate inventory feeds, recruit and train operations staff, run a closed pilot with 50 customers	Target: 20 active suppliers; pilot order fulfilment within 48 hours; pilot return rate below 5%
Q3	Launch the platform and marketing campaigns, begin B2C acquisition, open the B2B enquiry channel	Target: 300 orders per month by the end of Q3; delivery within 2 working days in the Western Province
Q4	Review analytics, optimise logistics and assortment, expand categories, prepare the Year 2 plan	Target: 450 orders per month by the end of Q4; repeat-purchase rate above 20%; gross margin above 34%

The hybrid inventory model is central to operations. High-turnover parts are held in the central warehouse so that the most common orders can be dispatched quickly. Rare and slow-moving parts are drop-shipped from verified suppliers to avoid tying up working capital. Stocking priority follows the B2C segment: the catalogue, warehouse slots, and delivery promises are

designed first around DIY car owners, with B2B garage orders served from the same pool and increasingly through dedicated bulk availability.

Supplier management covers onboarding, quality checks, warranty terms, lead times, and performance reviews. Every supplier is assessed on part authenticity, fill rate, and return handling. Customer service covers fitment questions, order tracking, returns, and complaints, with response-time targets and a documented escalation path. The business tracks on-time dispatch, delivery success, return rate, stock availability, and customer satisfaction as core operating metrics.

10. Financial Plan

The financial plan is an illustrative two-year projection in Sri Lankan rupees (LKR). It is built from the assumptions in Section 12 and is intended for planning and investor discussion, not as a guarantee of future performance.

Illustrative estimate: The revenue, cost, and cash-flow figures below are planning estimates based on the stated assumptions.

Financial Assumptions

Assumption	Year 1	Year 2	Basis
Orders	3,600	8,400	Ramp from 300 to 700 orders per month
Average order value	LKR 12,500	LKR 13,000	Category mix and basket growth
Revenue	LKR 45,000,000	LKR 109,200,000	Orders multiplied by average order value
Cost of goods sold	65% of revenue	62% of revenue	Supplier pricing and category mix
Marketing	10% of revenue	9% of revenue	Search-led acquisition
Fulfilment	5% of revenue	5% of revenue	Third-party logistics and packaging
Hosting and software	LKR 1,500,000	LKR 1,800,000	Cloud, payments, tools
Salaries and administration	LKR 6,000,000	LKR 10,800,000	Lean team growing with volume
Warehouse and utilities	LKR 2,000,000	LKR 2,400,000	Fulfilment facility

Assumption	Year 1	Year 2	Basis
Other operating costs	LKR 1,500,000	LKR 2,000,000	Insurance, professional fees, misc.
Depreciation and amortisation	LKR 1,000,000	LKR 1,200,000	Equipment and platform
Interest	LKR 750,000	LKR 600,000	Debt facilities
Tax rate	0%	30%	Year 1 loss; Year 2 profit

Income Statement

Illustrative estimate: The income statement below is a planning projection for the two years following launch.

Line item	Year 1 (LKR)	Year 2 (LKR)
Revenue	45,000,000	109,200,000
Cost of goods sold	(29,250,000)	(67,704,000)
Gross profit	15,750,000	41,496,000
Marketing	(4,500,000)	(9,828,000)
Fulfilment	(2,250,000)	(5,460,000)
Hosting and software	(1,500,000)	(1,800,000)
Salaries and administration	(6,000,000)	(10,800,000)
Warehouse and utilities	(2,000,000)	(2,400,000)
Other operating costs	(1,500,000)	(2,000,000)
EBITDA	(2,000,000)	9,208,000
Depreciation and amortisation	(1,000,000)	(1,200,000)
Operating profit (EBIT)	(3,000,000)	8,008,000
Interest	(750,000)	(600,000)
Profit before tax	(3,750,000)	7,408,000
Tax	0	(2,222,400)
Net profit / (loss)	(3,750,000)	5,185,600

Cash Flow Projection

Illustrative estimate: The cash-flow projection below shows the expected timing of cash inflows and outflows.

Cash flow item	Year 1 (LKR)	Year 2 (LKR)
Net profit / (loss)	(3,750,000)	5,185,600
Depreciation and amortisation	1,000,000	1,200,000
Increase in accounts receivable	(2,500,000)	(1,300,000)
Increase in inventory	(4,500,000)	(1,500,000)

Cash flow item	Year 1 (LKR)	Year 2 (LKR)
Increase in prepayments	(750,000)	(150,000)
Increase in accounts payable	3,200,000	1,800,000
Increase in accruals	1,100,000	400,000
Net cash from operating activities	(6,200,000)	5,635,600
Purchase of platform	(3,500,000)	0
Purchase of equipment	(3,300,000)	(1,000,000)
Net cash used in investing activities	(6,800,000)	(1,000,000)
Founder equity	5,000,000	0
Investor equity	10,000,000	0
Short-term loan	2,000,000	(1,000,000)
Long-term loan	2,000,000	(500,000)
Net cash from financing activities	19,000,000	(1,500,000)
Net change in cash	6,000,000	3,135,600
Opening cash	0	6,000,000
Closing cash	6,000,000	9,135,600

Cash flow is negative in the build and launch quarters because platform development, initial inventory, and marketing precede revenue at scale. The business is projected to generate positive operating cash flow as order volume and margin improve in the second half of Year 1 and through Year 2.

Balance Sheet

Illustrative estimate: The balance sheet below is a planning projection at the end of each year.

Balance sheet item	Year 1 (LKR)	Year 2 (LKR)
Cash	6,000,000	9,135,600
Accounts receivable	2,500,000	3,800,000
Inventory	4,500,000	6,000,000
Prepayments	750,000	900,000
Equipment at cost	3,300,000	4,300,000
Less accumulated depreciation	(600,000)	(1,300,000)
Equipment, net	2,700,000	3,000,000
Platform at cost	3,500,000	3,500,000
Less accumulated amortisation	(400,000)	(900,000)
Platform, net	3,100,000	2,600,000
Total assets	**19,550,000**	**25,435,600**
Accounts payable	3,200,000	5,000,000
Accrued expenses	1,100,000	1,500,000
Short-term loan	2,000,000	1,000,000
Long-term loan	2,000,000	1,500,000
Total liabilities	**8,300,000**	**9,000,000**

Balance sheet item	Year 1 (LKR)	Year 2 (LKR)
Founder equity	5,000,000	5,000,000
Investor equity	10,000,000	10,000,000
Retained earnings / (accumulated deficit)	(3,750,000)	1,435,600
Total equity	**11,250,000**	**16,435,600**
Total liabilities and equity	**19,550,000**	**25,435,600**

Balance check — Year 1: LKR 19,550,000 = LKR 8,300,000 + LKR 11,250,000

Balance check — Year 2: LKR 25,435,600 = LKR 9,000,000 + LKR 16,435,600

Statement of Shareholders' Equity

Equity item	Year 1 (LKR)	Year 2 (LKR)
Opening equity	0	11,250,000
Founder equity contribution	5,000,000	0
Investor equity contribution	10,000,000	0
Net profit / (loss)	(3,750,000)	5,185,600
Dividends	0	0
Closing equity	11,250,000	16,435,600

Funding Requirement and Use of Funds

VectraAuto requires LKR 15,000,000 in equity and LKR 4,000,000 in debt facilities, for total available funding of LKR 19,000,000.

Use of funds	Amount (LKR)
Platform development	3,500,000
Warehouse setup and equipment	3,300,000
Initial inventory	4,500,000
Launch marketing	2,000,000
Working capital	4,700,000
Legal, compliance, and contingency	1,000,000
Total	**19,000,000**

At the Year 1 average order value and gross margin, the business needs roughly 338 orders per month to cover fixed operating costs. The Year 1 plan averages 300 orders per month and reaches 450 orders per month by Q4, which is why the projected loss is concentrated in the first half of the year. A 10% shortfall in orders would reduce Year 1 gross profit by approximately LKR 1,575,000; the funding plan includes a contingency reserve for this risk.

11. Digital Innovation

Invention versus Innovation

An invention is a new idea, device, or method. Innovation is the commercial application of that invention in a way that creates value people adopt and pay for. The internet, the web browser, the database, and the online payment gateway are inventions that existed before VectraAuto. VectraAuto is the innovation: it combines those inventions into a focused commercial application that solves a specific automotive problem, reaches customers who previously could not easily access the parts they needed, and earns revenue from the transaction. The value is not the existence of the technology; it is the adoption, the experience, and the commercial model built on top of it.

Digital Innovation versus IT Innovation

IT innovation improves how existing work is done. It is internal and efficiency-focused: moving paper records to a spreadsheet, migrating a finance system to the cloud, or automating a manual report. Digital innovation uses digital technology to create new value, new experiences, or new business models. It is market-facing and often transformative.

VectraAuto is a digital innovation, not merely an IT innovation. The business is not digitising an existing parts shop's paperwork. It is launching a market-facing platform that changes how customers discover, validate, and buy parts. The test is simple: does the change create new customer value and a new business model, or does it only make an existing process faster? VectraAuto passes the first test. A spreadsheet would make internal filing faster; the VectraAuto platform creates a new channel, a new fitment experience, and a new data asset.

Digital Strategy Roadmap

The digital strategy is a high-level plan for using technology to create competitive advantage, grow revenue, and improve operations.

1. **Switch from analog to digital processes.** Inventory records, supplier catalogues, order tracking, and customer history move from spreadsheets, paper, and phone messages into a secure cloud database with role-based access and backups.
2. **Implement new software and platforms.** VectraAuto builds a custom front-end web application with a make-model-year fitment finder, search, cart, checkout, order tracking, and returns. A back-office module manages catalogue data, suppliers, stock, pricing, and fulfilment.
3. **Integrate the supply chain.** Supplier inventory feeds and logistics APIs reduce manual updates and improve availability accuracy. Payment gateways support cards, bank transfer, and cash on delivery.
4. **Automate and analyse.** Automated analytics track searches, conversion, returns, stock turn, and demand by vehicle and category. The data informs assortment, warehouse stocking, and marketing spend.
5. **Extend to B2B.** After the B2C experience is stable, a garage portal will add repeat ordering, bulk pricing, consolidated invoicing, and account terms.

Types of Digital Innovation

VectraAuto applies all three types of digital innovation. It builds on a traditional business model by creating an online marketplace for parts that were previously sold through physical shops. It improves the current model by adding structured fitment data, real-time availability, and delivery that local shops cannot easily match. It creates an entirely new model by using search and demand data to predict which parts should be stocked, which suppliers should be prioritised, and which customer segments are underserved.

Benefits of Digital Innovation

The expected benefits map directly to the business case. Digital innovation provides a competitive advantage through fitment accuracy and convenience that general marketplaces do not offer. It protects the company from threats by reducing dependence on a single supplier, a single channel, or manual processes. It improves productivity by automating catalogue updates, order routing, and reporting. It provides access to big data and analytics, which improves stocking and marketing decisions. It enables automation and centralised systems, which keep operating costs low as volume grows. It increases return on investment (ROI) across marketing and inventory by focusing spend on demand that the data can see. And it allows VectraAuto to keep pace with evolving customer expectations for search, transparency, speed, and digital payment.

Digital Metrics

The digital strategy is measured, not assumed. VectraAuto will track fitment-search success rate, search-to-order conversion, cart abandonment, on-time dispatch, delivery success, return rate by reason, repeat-purchase rate, and stock availability. These metrics are reviewed weekly in the launch phase and monthly thereafter.

12. Assumptions and Placeholders

Planning Assumptions

- The market and financial figures in this proposal are illustrative planning estimates, not audited results. They are based on public registration data, supplier discussions, and conservative operating assumptions.
- The primary market is Sri Lanka, with launch concentrated in the Western Province and expansion to other provinces in Year 2.
- All monetary values are in Sri Lankan rupees (LKR).
- VectraAuto operates as a Limited Liability Company (LLC) in the startup phase.
- DIY car owners are the primary revenue segment; independent repair garages are the secondary channel.
- The inventory model is hybrid: high-turnover parts are stocked in a central warehouse, while rare parts are drop-shipped from verified suppliers.
- The Year 1 plan assumes a gradual order ramp, a 35% gross margin, and a lean operating team.

- The Year 2 plan assumes improved supplier terms, a 38% gross margin, and operating leverage from higher order volume.
- The proposal follows the standard business-plan structure and adds a dedicated digital innovation analysis.

Open Placeholders

Placeholder	Owner	Section	Status
[PLACEHOLDER: founder name — owner: founder]	Founder	S00	Open
[PLACEHOLDER: registered business address — owner: founder]	Founder	S00	Open
[PLACEHOLDER: contact email and phone — owner: founder]	Founder	S00	Open
[PLACEHOLDER: company logo — owner: founder/designer]	Founder / designer	S00	Open

Estimate Method Notes

The total aftermarket value is estimated from the registered vehicle base, an average annual parts and repair spend per vehicle, and the share of spending that flows through independent channels. The online-addressable value applies an estimated online penetration rate to the total. Volume figures for garages and DIY households are order-of-magnitude estimates used for planning. These figures should be replaced with commissioned market research before a later funding round.

13. Glossary and Sources

Glossary

- **Aftermarket**: Parts and services sold outside the original vehicle manufacturer's authorised dealer network.
- **B2C**: Business-to-consumer; in this proposal, sales to DIY car owners.
- **B2B**: Business-to-business; in this proposal, sales to independent repair garages.
- **COGS**: Cost of goods sold; the direct cost of the parts sold.
- **Drop-shipping**: Fulfilment model in which a supplier ships a part directly to the customer.
- **EBITDA**: Earnings before interest, tax, depreciation, and amortisation.
- **Fitment**: Whether a part is compatible with a specific vehicle's make, model, year, and variant.
- **LKR**: Sri Lankan rupee, the currency used throughout this proposal.
- **MMY**: Make, model, and year; the core inputs to a fitment search.
- **OEM**: Original equipment manufacturer; parts produced for the vehicle manufacturer.
- **ROI**: Return on investment.

- **USP**: Unique selling proposition; the distinctive promise that differentiates the business.

Sources and Data Notes

- Department of Motor Traffic vehicle registration statistics, used as the basis for fleet volume estimates.
- Central Bank of Sri Lanka annual reports and economic commentary, used for macroeconomic context.
- Sri Lanka Customs import data, used to understand parts import dependence.
- Supplier and repair-garage discussions, used for category, pricing, and lead-time assumptions.
- Internal planning estimates for market value, online penetration, and financial projections.

The market and financial figures in this proposal are illustrative estimates prepared for planning and investor discussion. They are not audited financial statements or commissioned market research. VectraAuto will replace them with verified data as the business begins operating and as better sources become available.